

Agency Expense Burn Analysis — Financial Control & Cost Optimization

Financial Control & Expense Governance Case Study

1. The Problem

The agency did not have an expense problem it could easily see. It had a visibility problem.

The business was spending across departments, expense categories, transaction types, and payment channels, but the information was not being presented in a way that made financial pressure immediately obvious.

Leadership needed answers to straightforward questions:

- Where is the money actually going?
- How much of the spending is recurring?
- Which departments are consuming the most capital?
- Which individual expenses deserve scrutiny?
- How much expenditure is moving through difficult-to-audit payment channels?

The objective was therefore not to build another expense report.

The objective was to turn raw transactions into a financial-control tool.

2. What the Analysis Found

I built a two-page Power BI financial analytics dashboard focused on **expense burn, recurring commitments, departmental concentration, high-value transactions, and payment-method risk.**

The analysis revealed several patterns that deserve management attention.

Recurring expenditure is becoming a structural constraint

Approximately **66% of monthly outlay is tied to recurring commitments**, compared with a stated healthy operating target of approximately 30%.

That matters because recurring expenses are harder to remove quickly.

A one-time expense disappears after the transaction.

A recurring commitment keeps consuming cash until someone actively reviews, renegotiates, or cancels it.

Cash is the biggest control risk

Cash represents approximately **85.17% of payment value, equivalent to around ₮1.238M**.

That does not automatically mean the spending is inappropriate.

It does, however, create a governance problem.

The more expenditure moves through channels with weaker transaction traceability, the harder it becomes for management to maintain a clean audit trail and understand exactly where capital is being deployed.

Departmental spending is not evenly distributed

Client Servicing accounts for approximately ₮560K, compared with approximately **₮242K for Asset Building**.

That means Client Servicing is absorbing more than twice the expenditure of Asset Building in the analyzed dataset.

The important question is therefore not simply:

"Why is Client Servicing expensive?"

It is:

"Which portion of that expenditure is genuinely required to generate or protect revenue, and which portion can be reduced without damaging delivery?"

That is the question management should investigate next.

Large transactions create concentration risk

The dashboard also isolates major individual expenses, including areas such as **model remunerations, equipment, and client production**.

These transactions deserve a different level of management attention from routine low-value expenses.

When a relatively small number of transactions represent a meaningful share of total burn, controlling those transactions can produce a much larger impact than attempting to optimize hundreds of minor expenses individually.

3. What Management Should Do

The data points toward a relatively simple control framework.

1. Move high-value payments toward traceable channels

Introduce a policy requiring payments above **₹10,000** to be processed through electronic bank transfers or another traceable payment mechanism, subject to legitimate operational exceptions.

The purpose isn't to eliminate cash overnight.

It is to make significant expenditure easier to verify, reconcile, and audit.

2. Review recurring commitments

Recurring expenses should be classified into three groups:

Keep → Renegotiate → Remove

Management should begin with recurring vendor retainers, subscriptions, and other commitments where the business value is unclear or has not been reviewed recently.

The objective should be to reduce unnecessary recurring burn without cutting expenses that directly support revenue generation.

3. Investigate the largest individual expenses

Instead of treating every expense equally, management should focus first on the transactions capable of materially changing the financial picture.

A simple review framework could ask:

Was it necessary?

Was it approved?

Was it budgeted?

Did it generate or protect business value?

Would we approve the same expense today?

4. Monitor the expense structure monthly

The dashboard should become a recurring management-control tool rather than a one-time reporting exercise.

Management can track:

- Recurring expense %
- Departmental burn
- High-value transactions
- Payment-method mix
- Expense concentration
- Average transaction value

That makes it possible to identify deterioration before it becomes a cash-flow problem.

4. Expected Business Impact

The immediate opportunity is not simply to "cut costs."

It is to **change the structure of spending**.

The case analysis estimates a potential saving opportunity of approximately **£300K–£500K per month** if recurring expenditure can be reduced from approximately 66% toward 45% through contract review, renegotiation, and removal of low-value commitments.

This is an estimated potential impact, not a realized saving.

The larger benefit is financial visibility.

By improving payment traceability, reviewing recurring commitments, and concentrating management attention on the largest sources of burn, the agency can move from:

"How much did we spend?"

to:

"Why did we spend it, is it still justified, and what should we change next month?"

Technical Approach

The dashboard was developed in **Microsoft Power BI**, using cleaned expense data and a DAX-centric analytical layer.

Dashboard capabilities

- Executive KPI reporting
- Recurring vs. one-time expense analysis
- Departmental expense analysis
- Expense-category analysis
- High-value transaction analysis
- Payment-method risk analysis
- Expense concentration analysis
- Bookmark-based navigation
- Interactive filtering
- Drill-through analysis

The report intentionally separates **executive-level financial visibility** from **detailed expense investigation**, allowing a decision-maker to start with the overall burn position and progressively investigate the areas creating the greatest concern.

Final Takeaway

The biggest finding is not that the agency spends too much.

It is that a large portion of its spending appears to be **structurally committed or difficult to monitor**, which reduces management's flexibility.

That creates two priorities:

First, improve control over how significant payments are made.

Second, challenge recurring expenditure before it becomes permanent overhead.

The dashboard was built to make those two problems visible—and, more importantly, actionable.